Hopei Brigade Halts Erroneous Sideline Production

Shihchiachuang, Hopei provincial service 1100 gmt 18 Aug 75

(a) Precis, with quotations, of report:

"The cadres and commune members of (Niulantaotzu) production brigade in Wuchiang County since 1971 have produced transformer switches as a sideline occupation. Since the beginning, there have existed two different views on engaging in such a sideline occupation. One view holds that since the production and marketing of this sideline product is not included in the state plan, it is questionable as far as the orientation or line is concerned. Therefore, it should be brought to a stop as soon as possible. However, the other view holds that it is justified for one to do anything so long as he does so for the sake of the collective. Since the profitable sideline production has made a large amount of money to support agriculture, there should be no question at all as far as the orientation or line is concerned. In any case, this ready source of income should not be abandoned."

After the publication last spring of Chairman Mao's important instructions on the question of theory, the cadres and commune members of the brigade, while studying it, once again discussed the question of orientation in developing sideline production by the brigade. During the discussion, some people said: "It is a fact that the production of transformer switches is very profitable, but this is not the right way to make money - it is following the sinister capitalist road."

(Liu Cheng-sung), a Party member, then said: "We don't oppose all sideline occupations processing industrial products. There are sideline occupations serving cities or processing products for big factories, and the production and marketing of such sideline products are included in the state plan. Such sideline production should be developed according to actual conditions. However. the pproduction and marketing of our transformer switches are not included in the state plan. We have travelled far to look for and sign marketing contracts; we have produced the raw materials for transformer switches ourselves. We have also processed some products for others. This of course has an impact on the state plan. We should consider whether such a way of sideline production is socialist or capitalist, and whether or not it is conducive to consolidating the dictatorship of the proletariat."

Following this, (Liu Kuo-chang), member of the brigade Party branch in charge of sideline production, said: "Since there is commodity production under the socialist system, the law of value plays a role in certain fields. However, socialist production is undertaken in proportion and in a planned way and it must not be adjusted according to the law of value. In the whole process of producing and marketing transformer switches, our purpose has been to seek profit. Thus we have acted according to the law of value. If this continues to develop, we will be engaging in a capitalist free enterprise."

(Wang Tzu-kan), deputy-secretary of the brigade Party branch, then said: "Whether or not a thing is justified is to be determined by whether or not it is socialist. Some comrades hold that it is justified for one to do anything, so long as one does it for the sake of the collective, mainly because they have forgotten the Party's basic line and the fact that there still exists the question of what road to take after agricultural collectivization in the countryside. If the leading group of a production brigade follows the revisionist line, the collective economy in the brigade will develop in the wrong direction."

Through this discussion, the cadres and commune members of the brigade have been able to see clearly that capitalist tendencies may emerge in the collective economy. Following this discussion, the brigade set forth new regulations on the development of sideline production. (1) No new contracts for marketing transformer switches will be signed. All unfulfilled contracts should be fulfilled as soon as possible. (2) The brigade